

Bloomberg Automated Summary

Coca-Cola Co/The Earnings Call

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07/23/24

Guidance

- The company raised both top-line and bottom-line guidance for 2024
- Updated 2024 guidance includes:
 - Organic revenue growth of 9-10%
 - Comparable currency neutral EPS growth of 13-15%
 - Comparable EPS growth of 5-6% versus \$2.69 in 2023
- Currency headwinds are expected to have:
 - 5-6 point negative impact on comparable net revenues
 - 8-9 point negative impact on comparable EPS
- Bottler refranchising is expected to be:
 - 4-5 point headwind to comparable net revenues
 - 1-2 point headwind to comparable EPS
- Earnings growth is expected to be weighted toward Q4 2024, with two extra days in that quarter

Margin Story

- In Q2, comparable gross margin expanded by approximately 200 basis points, driven by underlying expansion and bottler refranchising benefits, partially offset by currency headwinds
- Comparable operating margin expanded by approximately 120 basis points in Q2, with less benefit from bottler refranchising and greater currency headwinds compared to gross margin
- For the second half of 2024, margins are typically lower than the first half, but overall trends are expected to remain similar to the first half
- The company maintains flexibility to adjust investments based on market conditions while maintaining an overall direction of strengthening margin profile

AI Strategy

- The company is piloting an AI-based price pack channel optimization tool across markets to evaluate opportunities and better tailor solutions, with early results showing improved offerings and speed to market
- They are testing an AI-driven initiative for personalized retailer messaging that has shown over 30% higher likelihood of recommended SKU purchases
- Management indicated they are just beginning to explore AI's potential

Material Costs

- Input costs continue to rise, particularly for agricultural materials, while metal/commodity-based costs have stabilized
- The company's strategy for dealing with rising costs involves a combination of pricing actions, productivity improvements, and earning price increases through marketing and innovation

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- Overall inflation appears to be moderating and "coming into the landing zone" according to management

Inventory

- There were some supply chain disruptions affecting concentrate shipments in Q2, including congestion in the Red Sea and Singapore, restocking after floods in Brazil, and stocking up in India to anticipate future demand
- Concentrate sales were 4 points ahead of unit case volume in Q2, though management expects this gap to normalize in the second half of the year
- The inventory timing differences had a small positive impact on margins, described as "10s of basis points"

Competition

- The company gained value share in the market during Q2 2024 while growing volume and expanding margins
- In specific regions like the Philippines, North America, and Africa, the company won both volume and value share through strategies like affordable packaging and refillable offerings
- In the energy drinks category, there is increasing competition as new players look to fill white spaces in the market, particularly in the US

Market Share

- The company gained value share in Q2 2024 while growing volume and generating strong organic revenue growth
- In the Philippines, they achieved strong value share gains through focus on affordable packages
- In Japan and South Korea, they won value share while generating volume growth
- In Nigeria and across Africa, they won both volume and value share through focus on affordable packages and increased outlet coverage
- In North America, they won value share while generating robust top-line and bottom-line growth
- Trademark Coca-Cola won both volume and value share during Q2

ESG Strategy

- Adverse weather conditions impacted business performance in Western Europe

Capital Allocation

- The company continues to support its dividend as part of its capital allocation priorities
- Free cash flow was \$3.3B in Q2, down \$700M year-over-year due to higher tax payments, cycling working capital benefits, and higher capital expenditures

M&A

- Coca-Cola recorded a \$1.3B charge related to the fairlife acquisition, with an estimated final payment of \$5.3B due in 2025. Management views fairlife's performance and value creation positively.

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- fairlife has been performing strongly in the market, being one of the top retail sales growth leaders in Q2

Labor

- This document contains no substantive discussion of labor-related topics. The earnings call transcript does not mention hiring, layoffs, unions, employment levels, or other workforce matters. The only mentions of employees are in passing references to "system employees" in a general context

Macro Environment

- The external environment remains uncertain, with some signs of pressure in various consumer segments across developed markets
- Overall consumer sentiment is described as "pretty strong, pretty resilient" though with some softer spots, particularly in away-from-home channels where there is lower traffic and increased value-seeking for combo meals
- Inflation appears to be normalizing in most markets, though some markets still face intense inflation:
 - Price/mix growth of 9% was primarily driven by approximately 5 points of intense inflationary pricing across a handful of markets
 - The rest was driven by various pricing and mixed actions across markets
- Consumer behavior varies by income level - lower-income consumers are going out less and seeking more value deals, while others continue to spend on premium categories
- In China specifically, consumer confidence remains subdued

Supply Chain

- There were supply chain disruptions in Q2 2024 that contributed to concentrate sales being ahead of unit case volume by 4 points
- Multiple specific supply chain issues were cited, including congestion in the Red Sea and Singapore, flooding-related restocking in Brazil, and stocking up in India
- Management expects concentrate shipments and unit cases to align by year-end, though they acknowledge potential for unexpected disruptions

Pricing

- In Q2, price/mix growth of 9% was driven by two main factors: approximately 5 points from intense inflationary pricing in select markets to offset currency devaluation, and various pricing/mixed actions across markets
- In North America, the 11% price/mix was split between actual pricing (about half) and business mix effects from growth in premium categories
- The company is focusing on affordability initiatives, including:
 - Accessible price points and refillable offerings in the Philippines and Nigeria
 - Food and drink combo meals in North America
 - Price pack architecture to maintain affordability while also offering premium options
- Management indicates that inflation is "largely coming into the landing zone" though some agricultural input costs are still rising, and they will continue to pursue pricing actions supported by marketing and innovation

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Product Development

- The company is refining its innovation process to focus on bigger bets and remove barriers, with innovations that grow in year 2 having better long-term success rates
- Recent successful innovations include:
 - Sprite and Fanta reformulations
 - FUZE TEA in Europe
 - Minute Maid Zero Sugar in North America
 - Sprite Chill and Topo Chico Sabores in North America
- In Japan, they successfully relaunched Ayataka tea brand
- The company launched a Marvel partnership featuring limited edition collectible graphics and AR experiences across 50+ markets

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